

CH – 1 ACCOUNTING BASICS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 1 [Introduction to Business]

1. Which of the following is not the legal status of organization:
(a) Sole proprietorship (b) Partnership
(c) Limited company (d) Branch
2. Which of the following is not the category of organization according to operations:
(a) Trading (b) Service providers
(c) Manufacturing (d) Multinational company
3. Which of the following is the category of organization according to objectives:
(a) Profit and non-profit organization (b) Trading and manufacturing
(c) Sole proprietorship and partnership (d) Local and multinational company
4. Which of the following is NOT the characteristic of sole proprietorship:
(a) Owner is also manager
(b) Investment necessary for business is provided by a single person
(c) Size of business is usually small
(d) Owner does not bear all business losses.
5. Owners of a limited company are called:
(a) Partners (b) Directors
(c) Shareholders (d) Stakeholders
6. Which of the following statement(s) are correct?
(i) Manufacturing business can buy and sell goods without further processing along with manufacturing its own goods.
(ii) Service business only buys and sell goods to earn profit.

Select the most appropriate answer.

- (a) Only (i) is correct
(b) Only (ii) is correct
(c) Both are correct
(d) None are correct
7. Which of the following statement(s) are correct?
(i) A petrol pump is a manufacturing business.
(ii) A restaurant is a trading business

Select the most appropriate answer.

- (a) Only (i) is correct
(b) Only (ii) is correct
(c) Both are correct
(d) None are correct

8. Which of the following statement(s) are correct?
- (i) A sole proprietor can do only a trading business
 - (ii) A limited company can do any type of activity either profit or non-profit.
- Select the most appropriate answer.
- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
9. Which of the following statement(s) are correct?
- (i) Profit is the difference between income less expenses.
 - (ii) A business can incur a loss instead of profit in any year.
- Select the most appropriate answer.
- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
10. What is the primary goal of a business?
- a) To provide employment
 - b) To generate profit
 - c) To follow government rules
 - d) To offer free services
11. What is the term for the amount of money a business earns after deducting expenses?
- a) Revenue
 - b) Profit
 - c) Loss
 - d) Investment
12. Which of the following is an example of a service business?
- a) A bakery
 - b) A clothing store
 - c) A car repair shop
 - d) A furniture showroom
13. What is the term for the process of turning raw materials into finished goods?
- a) Marketing
 - b) Manufacturing
 - c) Distribution
 - d) Outsourcing
14. Which of the following is an example of a tangible product?
- a) A software application
 - b) A customer service consultation

- c) A mobile phone
 - d) A training session
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